

FREE RESOURCE · AI & FINANCE AUTOMATION

Variance Commentary Prompt Templates

5 ready-to-use AI prompt templates for monthly management reports, cost centre packs, board packs, reforecast commentary, and operational reviews.
Each template includes variables, a sample output, and a prompting tip.

5 templates	Ready to copy	Sample output each	Prompting tip each
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HOW TO USE THESE TEMPLATES

Each template follows the **R.C.T.F. framework** — Role, Context, Task, Format. Before using a template: (1) identify the variables in **[SQUARE BRACKETS]** and replace them with your actual data, (2) paste your financial data directly into the **[DATA TABLE]** field — never ask the AI to retrieve data it does not have, (3) review the sample output to calibrate your expectations before running the prompt.

All AI-generated commentary is a **first draft** — it must be reviewed against source data before inclusion in any report. Numbers stated in the output should be verified against the data you provided. The model cannot fact-check itself.

01 Monthly Management Report — Variance Commentary

Use for: Monthly finance pack · P&L; variance section · Internal management reporting · Audience: CFO and senior leadership team

VARIABLES TO REPLACE

[PERIOD]	Month and year, e.g. May 2026
[CURRENCY]	e.g. EUR, GBP, USD
[UNIT]	e.g. thousands, millions
[THRESHOLD_%]	Materiality % threshold, e.g. 8%
[THRESHOLD_AMT]	Materiality amount, e.g. €25,000
[DATA TABLE]	Paste your actual vs budget table here

PROMPT TEMPLATE

You are an FP&A; analyst writing the variance commentary section of the [PERIOD] management report. Audience: CFO and senior leadership – financially literate, time-pressured readers.

Data ([CURRENCY], in [UNIT]):
[DATA TABLE]

Instructions:

- Comment only on variances exceeding [THRESHOLD_%] OR [THRESHOLD_AMT], whichever is lower. Ignore immaterial lines entirely.
- Cover the 3 largest adverse variances and up to 2 favourable variances.
- For each variance state: line item name, amount, direction (Adverse/Favourable), and the most likely cause if directly inferable from the data. Do not speculate beyond the data.
- If the cause of a variance is unclear, write: "Cause not specified – requires investigation."
- Format: bullet points. Maximum 40 words per bullet.
- Do not use: "robust", "solid", "challenging", "headwinds", "encouraging". Be specific about what happened, not how it felt.
- Do not include an introductory sentence. Start with the first bullet.

SAMPLE OUTPUT

- *Headcount costs — Adverse €48k (12% over budget). Three contractor extensions approved in April not reflected in the revised budget. Forecast impact: €48k per month recurring until Q3 review.*
- *Travel & Subsistence — Adverse €31k (22% over budget). European roadshow in May fell outside the original budget cycle. One-off item.*
- *Marketing spend — Favourable €19k (15% under budget). Campaign delayed to June. Full-year budget position unchanged.*
- *IT licences — Adverse €27k. Cause not specified — requires investigation.*

PROMPTING TIP

Specifying banned phrases ('robust', 'headwinds') forces precision. Build your own list and add it to every commentary prompt your team uses — it will consistently improve output quality across the board.

02 Departmental Cost Centre Commentary

Use for: Finance business partner review · Monthly cost centre pack · Budget holder communication · Audience: Non-finance budget holder (e.g. Head of Operations, Country Manager)

VARIABLES TO REPLACE

[DEPARTMENT]	Name of the department or cost centre
[BUDGET HOLDER TITLE]	e.g. Head of Operations — sets the language register
[PERIOD]	Month and year
[CURRENCY]	e.g. EUR, GBP
[DATA TABLE]	Paste cost centre actual vs budget table

PROMPT TEMPLATE

You are a finance business partner writing the [PERIOD] variance commentary for the [DEPARTMENT] cost centre. This will be sent to the [BUDGET_HOLDER_TITLE], who does not have a finance background.

Data ([CURRENCY]):

[DATA TABLE]

Instructions:

- Use plain language. Avoid accounting jargon entirely.
- Write 3 bullet points:
 1. The largest adverse variance: what the number is, what it means in practical terms, and whether it is expected to continue.
 2. Any favourable variance worth noting.
 3. One question the budget holder should be prepared to answer in the upcoming finance review meeting.
- Do not use passive voice.
- Maximum 35 words per bullet.
- If there are no material adverse variances, state this clearly in bullet 1 and do not invent commentary.

SAMPLE OUTPUT

- Staffing costs are €34k over budget this month. This is because two roles were filled earlier than planned. These costs will continue for the rest of the year.
- Training spend came in €12k below budget — the Q2 programme was pushed to Q3. No budget saving; the spend will land later.
- The finance review will ask: why were the two hires accelerated and was the budget updated to reflect this?

PROMPTING TIP

The audience specification changes everything. 'Non-finance background' shifts the model from accounting language to business language automatically. Always state who will read the output — it is the most impactful single instruction in any commentary prompt.

03 Year-to-Date Summary — Board Pack

Use for: Quarterly board pack · YTD financial section · Executive and non-executive directors · Audience: Board members including non-finance non-executives

VARIABLES TO REPLACE

[MONTH]	Current month, e.g. May
[YEAR]	e.g. 2026
[CURRENCY]	e.g. EUR
[UNIT]	e.g. thousands, millions
[YTD DATA]	Paste YTD actual vs budget vs prior year table
[FULL_YEAR_BUDGET_KEY_LINES]	Key full-year budget figures for context

PROMPT TEMPLATE

You are a CFO writing the year-to-date financial summary for the board pack. Period: [MONTH] [YEAR] YTD. Audience: board members including non-executive directors without finance backgrounds.

YTD data ([CURRENCY], in [UNIT]):

[YTD DATA]

Full-year budget reference:

[FULL_YEAR_BUDGET_KEY_LINES]

Write a YTD summary of exactly 120–150 words covering:

1. Revenue: YTD position vs budget and vs prior year – one sentence.
2. Cost: the single largest cost driver that is better or worse than budget – one sentence, plain language.
3. Profit / margin: resulting position and what it implies for whether the full-year budget is achievable – one sentence.
4. Cash: one sentence on the cash position relative to expectation.

Rules:

- Four sentences, one per item above. No bullet points.
- No jargon: if you use EBITDA, define it in brackets on first use.
- Do not project or forecast beyond what the YTD data supports.
- Do not use "on track", "well-positioned", or similar vague positives unless the numbers clearly support the claim.

SAMPLE OUTPUT

Revenue for the five months to May is €4.2m, which is 6% ahead of budget and 11% ahead of the same period last year, driven primarily by stronger-than-expected performance in the UK business unit. The largest cost overspend is in people costs, which are €380k above budget year-to-date following the earlier-than-planned hiring in Q1. The resulting EBITDA (earnings before interest, tax, depreciation and amortisation) margin is 14.2%, broadly in line with the full-year budget of 14.5%, though the people cost trend will need to stabilise in H2 for the budget to be met. Cash at month-end was €2.1m, ahead of the May budget of €1.8m, reflecting the stronger revenue collection performance.

PROMPTING TIP

Four-sentence structure with one topic per sentence forces discipline and prevents the rambling commentary that boards typically skim rather than read. Specify output structure precisely — 'four sentences' is more useful than 'concise'.

04 Reforecast vs Original Budget — Movement Explanation

Use for: Reforecast cycle · Finance director sign-off · Investor or parent company reporting · Audience: CFO, Finance Director, or parent company finance team

VARIABLES TO REPLACE

[PERIOD]	e.g. Full Year 2026, H2 2026
[CURRENCY]	e.g. EUR
[UNIT]	e.g. thousands
[ORIGINAL_BUDGET]	Key P&L; lines from the original budget
[REFORECAST]	Equivalent key P&L; lines from the current reforecast
[KEY_MOVEMENTS]	List the 3–5 largest line changes and the business reason for each

PROMPT TEMPLATE

You are a Finance Director preparing the commentary explaining the movement from the original budget to the current reforecast for [PERIOD].

Original budget ([CURRENCY], [UNIT]):
[ORIGINAL_BUDGET]

Current reforecast:
[REFORECAST]

Key movements (provided by business):
[KEY_MOVEMENTS]

Write a narrative of 150–180 words explaining:

1. The net movement at revenue level – amount and direction.
2. The net movement at profit/EBITDA level – amount and direction.
3. The two primary commercial drivers of the change (use the key movements provided – do not invent reasons).
4. Whether the reforecast represents an improvement or deterioration vs the original budget overall, and by how much.
5. One sentence on the key assumption the reforecast rests on.

Do not use passive voice. Write as if presenting to the CFO verbally.
Do not speculate about causes beyond the key movements provided.
If a movement is not explained in the data, flag it as unexplained.

SAMPLE OUTPUT

The [PERIOD] reforecast reflects a revenue reduction of €1.2m versus the original budget, partially offset by €0.4m of cost savings, resulting in a net EBITDA reduction of €0.8m — equivalent to a 1.4 percentage point margin deterioration. The two primary drivers are the delayed product launch, which pushes €0.9m of revenue from H1 into Q4, and the renegotiated supplier contract, which delivers €0.4m of procurement savings ahead of schedule. Overall, the reforecast represents a deterioration of €0.8m at EBITDA level versus the original budget, though the majority of the revenue shortfall is timing rather than loss. The reforecast rests on the assumption that the product launch completes in October as currently planned — a delay beyond November would require a further revision.

PROMPTING TIP

Providing [KEY_MOVEMENTS] as a separate field is the most important structural feature of this template. The model cannot know why the reforecast changed — you must supply the business reasons. The prompt's job is to structure and communicate them, not to discover them.

05 Operational Review Flash Commentary

Use for: Same-day close · Weekly operational review · Leadership operational meeting · Audience: CEO, COO, or operations leadership — not a finance audience

VARIABLES TO REPLACE

[DATE]	Date of the operational review, e.g. 7 June 2026
[PERIOD_DESCRIPTION]	e.g. Week ending 6 June, Month-to-date May
[CURRENCY]	e.g. EUR
[OPERATIONAL_DATA]	Paste key operational and financial metrics — revenue, volume, margin, key KPIs
[PRIOR_PERIOD_DATA]	Same metrics for the prior comparable period
[ANY_KNOWN_ISSUES]	Any specific operational events to include — or write 'None provided'

PROMPT TEMPLATE

You are a Finance Business Partner preparing the financial commentary for the [DATE] operational review. This is a working session – direct and brief. Audience: CEO and operations leads, not a finance audience.

[PERIOD_DESCRIPTION] data ([CURRENCY]):

[OPERATIONAL_DATA]

Prior period comparison:

[PRIOR_PERIOD_DATA]

Known issues or events:

[ANY_KNOWN_ISSUES]

Write 4 bullet points – no preamble, start immediately with bullet 1:

1. Revenue/volume headline: actual vs plan and vs prior period.

State the direction and the primary driver in one sentence.

2. Margin or cost headline: one observation worth flagging.

3. The one operational metric most out of line with expectation – what it is, direction, and magnitude.

4. One item requiring a decision or action from this meeting.

If none, write: "No decision required from this session."

Rules:

- Maximum 20 words per bullet.
- Numbers only – no vague qualifiers.
- Do not repeat information across bullets.
- Label all figures as preliminary if from the same-day data.

SAMPLE OUTPUT

• Revenue €1.8m MTD (prelim) — 4% below plan, 7% above May 2025.

Online channel driving the gap vs plan.

• Gross margin 31.2% — 0.8pp below budget. Freight cost spike

in week 2 not yet reversed.

• Order fulfilment rate 87% — 6pp below the 93% target.

Warehouse staffing shortfall in weeks 2 and 3.

• Decision required: approve 3 temporary warehouse hires at

€280/day to recover fulfilment rate before month-end.

PROMPTING TIP

Operational reviews are read in real-time in a meeting, not studied at a desk. The 20-word limit per bullet is strict by design — it forces you to prioritise before prompting. If you cannot state the issue in 20 words, you have not yet decided what the issue is.

ABOUT THIS RESOURCE

These templates were developed by **Mirela Dragulescu**, a finance transformation specialist with 9+ years delivering finance reporting, T&E implementations, and AI adoption programmes across 10+ European markets. The R.C.T.F. framework (Role, Context, Task, Format) applied in each template is the structured prompting methodology that consistently produces the most reliable results in financial reporting contexts.

The sample outputs shown are illustrative — they are generated from the template structure with placeholder data. Your actual outputs will reflect your organisation's specific numbers, context, and reporting requirements.

MORE VARIANCE COMMENTARY PROMPTS

The **Advanced AI Prompt Library — Finance Edition** includes 150 tested prompts across 12 use cases — including 12 additional variance commentary templates covering investor narratives, audit committee summaries, reforecast documentation, and multi-entity consolidation. Available at **the Resources section on MD Consulting's website**.

CONSULTING & ADVISORY

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